

24SMCV06073 24SMCV06073

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Case Number: 24SMCV06073 Hearing Date: August 27, 2026 Dept: 207

TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

August

11, 2026, cont'd to August 27, 2026

CASE NUMBER

24SMCV06073

MOTION

Motion

for Summary Judgment/Summary Adjudication

MOVING PARTY

Plaintiff and Cross-Defendant Soto Capital,
L.P.

OPPOSING PARTY

Defendant
and Cross-Complainant MD Hydration

MOVING PAPERS:

Notice
of Motion and Motion for Summary Judgment/Summary Adjudication; Memorandum
of Points and Authorities

Separate
Statement of Undisputed Facts

Declaration
of Michael Soroudi

Declaration
of Sean A. Topp

OPPOSITION PAPERS:

Opposition to Motion for Summary
Judgment/Summary Adjudication; Memorandum of Points and Authorities

Separate Statement in Opposition

Evidentiary Objections

Evidence in Opposition

REPLY PAPERS:

Reply
in Support of Motion for Summary Judgment/Summary Adjudication

Evidentiary
Objections to the Declaration of Edwin C. Kisiel

Evidentiary
Objections to the Declaration of Shaun Hayward

BACKGROUND

This is a landlord-tenant dispute involving a commercial lease.

On December 12, 2024, Plaintiff and landlord Soto Capital, L.P. ("Plaintiff") filed suit against Defendant MD Hydration, Inc. ("Defendant") for breach of lease.

Thereafter, Defendant filed a cross-complaint against Plaintiff. The Operative First Amended Cross-Complaint ("FAXC") alleges four causes of action for (1) breach of written contract; (2) breach of quiet enjoyment; (3) breach of implied covenant of good faith and fair dealing; and (4) private nuisance.

Plaintiff now moves for summary judgment, or in the alternative summary adjudication of Defendant's Cross-Complaint as to the following issues:

1. There are no triable issue of material fact as to MD's First Cause of Action for Breach of Written Contract because this cause of action is barred by the exculpation clause contained at paragraph 8.8 of the Lease at issue and MD cannot establish the required elements for a cause of action for Breach of Contract. *Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1126; *D'Arrigo Bros. of California v. United Farmworkers of America* (2014) 224 Cal.App.4th 790, 800; *Royal Neckwear Co. v. Century City, Inc.* (1998) 205 Cal.App.3d 1146, 1151-1152; *Rotman v. Maclin Markets, Inc.* (1994) 24 Cal.App.4th 1709, 1715. [Issue No. 1, Separate Statement of Undisputed Facts ["SSUF"] 1 through 29].

2. There are no triable issue of material fact as to MD's Second Cause of Action for Breach of Quiet Enjoyment as this cause of action is barred by the exculpation clause contained at paragraph 8.8 of the Lease at issue and MD cannot establish the required elements for a cause of action for Breach of Quiet Enjoyment. *Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1126; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 126; *Nativi v. Deutsche Bank National Trust Co.* (2014) 223 Cal.App.4th 261; *Royal Neckwear Co. v. Century City, Inc.* (1998) 205 Cal.App.3d 1146, 1151-1152; *Rotman v. Maclin Markets, Inc.* (1994) 24 Cal.App.4th 1709, 1715. [Issue No. 2, SSUF 30 through 58].

3. There are no triable issue of material fact as to MD's Third Cause of Action for Breach of Implied Covenant of Good Faith and

Fair Dealing as this cause of action is barred by the exculpation clause contained at paragraph 8.8 of the Lease at issue and Md cannot establish the required elements for a cause of action for Breach of Implied Covenant of Good Faith and Fair Dealing. Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1126; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 126; Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.. [Issue No. 3, SSUF 59 through 87].

4. There are no triable issue of material fact as to MD's Fourth Cause of Action for Private Nuisance as this cause of action is barred by the exculpation clause contained at paragraph 8.8 of the Lease at issue and MD cannot establish the required elements for a cause of action for Private Nuisance. Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1126; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 126; Mendez v. Rancho Valencia Resort Partners, LLC (2016) 3 Cal.App.5th 248, 262-263; Royal Neckwear Co. v. Century City, Inc. (1998) 205 Cal.App.3d 1146, 1151-1152; Rotman v. Maclin Markets, Inc. (1994) 24 Cal.App.4th 1709, 1715. [Issue No. 4, SSUF 88 through 116].

Defendant opposes the motion and Plaintiff replies.

EVIDENTIARY OBJECTIONS

The

Court rules as follows with respect to Defendant's evidentiary objections:

- Soroudi Decl, ¶ 5: Overruled
- Soroudi Decl, ¶ 7: Overruled
- Soroudi Decl, ¶ 8: Overruled
- Soroudi Decl, ¶ 9: Overruled
- Soroudi Decl, ¶ 10: Overruled
- Soroudi Decl, ¶ 11: Overruled
- Soroudi Decl, ¶ 12: Sustained – Hearsay

· Soroudi Decl, ¶ 13: Overruled

· Soroudi Decl, ¶ 14: Overruled

The Court rules as follows

with respect to Plaintiff's evidentiary objections to the Kisiel Declaration:

1. Overruled

2. Overruled

3. Overruled

4. Overruled

5. Overruled

6. Overruled

The Court rules as follows

with respect to Plaintiff's evidentiary objections to the Hayward Declaration:

1. Sustained –Foundation

2. Overruled as to "On or about March 31, 2020,
I sent email communications on behalf of MD to Soto informing them of the water
leak." Sustained as to the balance on
Foundation and Hearsay.

3. Overruled as to "I notified Soto of the water
leak and infestation on MD's behalf via email the same day." Sustained as to the balance on Foundation and
Hearsay.

4. Overruled as to "On or about February 1,
2021, I notified Soto on MD's behalf via email that the Subject Premises had
been burglarized and provided Soto with the video surveillance of same." Sustained as to the balance on Foundation and
Hearsay.

5. Overruled as to "I reported the break-in and
burglary to Soto on MD's behalf via email on or about March 3, 2021." Sustained as to the balance on Foundation and

Hearsay.

6. Sustained - Relevance

7. Overruled as to “On or about March 8, 2021, I sent a written request to Soto on behalf of MD, inquiring if the gate to the common area needed to remain unlocked, and Soto responded by email that it needs to remain open during business hours.”

Sustained as to the balance on Foundation and Hearsay

8. Sustained – Foundation and Hearsay

9. Sustained – Foundation and Hearsay

10. Sustained – Foundation

11. Overruled

12. Overruled

LEGAL STANDARDS – MOTION FOR SUMMARY JUDGMENT/ADJUDICATION

“[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law[.] There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.”
¿(Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850 (hereafter Aguilar).) ¿“[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact.” ¿(Ibid.; Smith v. Wells Fargo Bank, N.A. (2005) 135 Cal.App.4th 1463, 1474 [summary judgment standards held by Aguilar apply to summary adjudication motions].)

Further, “the trial court

may not weigh the evidence in the manner of a factfinder to determine whose version is more likely true. Nor may the trial court grant summary judgment based on the court's evaluation of credibility." (Aguilar, supra, 25 Cal.4th. at p. 840 [cleaned up]; see also Weiss v. People ex rel. Department of Transportation (2020) 9 Cal.5th 840, 864 ["Courts deciding motions for summary judgment or summary adjudication may not weigh the evidence but must instead view it in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party"].)

A party may move for summary adjudication as to one or more causes of action, affirmative defenses, claims for damages, or issues of duty if that party contends that there is no merit to the cause of action, defense, or claim for damages, or if the party contends that there is no duty owed. (See Code Civ. Proc., § 437c, subd. (f)(1).) "A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Ibid.) A cause of action has no merit if: (1) one or more elements of the cause of action cannot be separately established, even if that element is separately pleaded, or (2) a defendant establishes an affirmative defense to that cause of action.

(See Code Civ. Proc., § 437c, subd. (n); Union Bank v. Superior Court (1995) 31 Cal.App.4th 573, 583.)

Once the defendant has shown that a cause of action has no merit, the burden shifts to the plaintiff to show that a triable issue of material fact exists as to that cause of action. (See Code Civ. Proc., § 437c, subd. (o)(2); Union Bank v. Superior Court, supra, 31 Cal.App.4th at p.

583.) Additionally, in line with Aguilar, "[o]n a motion for summary adjudication, the trial court has no discretion to exercise. If a triable issue of material fact exists as to the challenged causes of action, the motion must be denied. If there is no triable issue of fact, the motion must be granted." (Fisherman's Wharf Bay Cruise Corp. v. Superior Court (2003) 114 Cal.App.4th 309, 320.)

DISCUSSION

I.

Plaintiff's Evidence

The crux of Plaintiff's motion is that Defendant's cross-claims fail because they are barred by the exculpation

clause in the lease. In support,

Plaintiff points to paragraph 8.8 of the Lease, which provides as follows:

8.8 Exemption of Lessor and its Agents from

Liability. Notwithstanding the negligence or breach of this Lease by Lessor or its agents, neither Lessor nor its agents shall be liable under any circumstances for: (i) injury or damage to the person or goods, wares, merchandise or other property of Lessee, Lessee's employees, contractors, invitees, customers, or any other person in or about the Premises, whether such damage or injury is caused by or results from fire, steam, electricity, gas, water or rain, indoor air quality, the presence of mold or from the breakage, leakage, obstruction or other defects of pipes, fire sprinklers, wires, appliances, plumbing, HVAC or lighting fixtures, or from any other cause, whether the said injury or damage results from conditions arising upon the Premises or upon other portions of the Building, or from other sources or places, (ii) any damages arising from any act or neglect of any other tenant of Lessor or from the failure of Lessor or its agents to enforce the provisions of any other lease in the Project, or (iii) injury to Lessee's business or for any loss of income or profit therefrom. Instead, it is intended that Lessee's sole recourse in the event of such damages or injury be to file a claim on the insurance policy(ies) that Lessee is required to maintain pursuant to the provisions of paragraph 8.

(Ex.

A to Soroudi Decl. at ¶ 8.8.) Plaintiff

also points to the following lease provisions, which establish that Defendant is responsible for security on the premises:

40. Security Measures. Lessee hereby acknowledges that the Rent payable to Lessor hereunder does not include the cost of guard service or other security measures, and that Lessor shall have no obligation whatsoever to provide same. Lessee assumes all responsibility for the protection of the Premises, Lessee, its agents and invitees and their property from the acts of third parties.

65. Security Measures. Lessor has informed Lessee that the Building is located in an urban area where criminal activities, break-ins and robberies occur. Lessee hereby acknowledges that Lessor makes (and has heretofore made) no representations or warranties that the Building or the Premises will be secure from criminal activities, including without

limitation, break-ins or robberies. Further, Lessee represents and warrants that Lessee and its consultants have inspected the Premises and Lessee has determined to its own satisfaction that the Premises are sufficiently secure, for Lessee's intended use. Lessee hereby assumes full responsibility for the security and protection of Lessee's business and its Premises. Lessee hereby agrees that Lessor shall not be liable for injury to Lessee's business or any loss of income by Lessee; nor shall Lessor be liable for injury to the person or property of Lessee, Lessee's employees, invitees, customers or any other person in or about the Premises resulting directly or indirectly from any third-party criminal act.

(Ex.

A to Soroudi Decl. at ¶¶ 40, 65.)

Plaintiff cites to Frittelli,

Inc. v. 350 North Canon Drive, LP, in which the Court of Appeal, analyzing an identical provision to paragraph 8.8 above, determined, based on the language of the provision:

we conclude that the parties' intent, as expressed in the agreement, was to exempt the lessor from liability for breach of the lease and ordinary negligence. Paragraph 8.8, by its plain language, states that the lessor has no liability under "any circumstances" for breaches of the lease and negligence for damages or injury arising from "any ... cause" in the areas of the shopping center outside the leased premises or for injuries to the lessee's business.

(Frittelli,

Inc. v. 350 North Canon Drive, LP (2011) 202 Cal.App.4th 35, 45 (hereafter Frittelli).) As such, the Court of Appeal concluded: "the

lease exempts the lessor from liability for breach of the lease and ordinary negligence under the facts alleged in Frittelli's complaint." (Id. at p. 46.)

Similarly, here, the causes of

action alleged in Defendant's FAXC are premised on Plaintiff's alleged breaches of the lease and negligence. To wit, the

first cause of action alleges a breach of contract. "By virtue of the acts above, Soto Capital has materially breached the Lease" (FAXC ¶ 35.)[1]

As to the second cause of action for breach of quiet enjoyment, "every lease includes a covenant of quiet

possession and enjoyment.” (Erlach v.

Sierra Asset Servicing, LLC (2014) 226 Cal.App.4th 1281, 1299-1300.) Similarly, here, the second cause of action is premised upon a breach of the lease:

39. Paragraph 38 of the Lease contains a covenant of quiet enjoyment of the MD Hydration’s occupancy and tenancy at the Subject Premises.

40. By virtue of the acts above, Soto Capital has materially breached the covenant of quiet enjoyment in the Lease causing damage to MD Hydration.

(FAXC

¶¶ 39-40.) Further, “the covenant of quiet enjoyment can be modified or waived by the tenant in a commercial lease setting.” (Lee v. Placer Title Co. (1994) 28 Cal.App.4th 503, 512-513.)

Regarding the third cause of action for breach of the implied covenant of good faith and fair dealing, “Implied in every contract is a covenant of good faith and fair dealing. The implied covenant prevents one side from unfairly frustrating the other's right to receive the benefits of the agreement actually made. The covenant does not impose substantive terms beyond those of the contract. A plaintiff claiming breach must allege the defendant's wrongful conduct was contrary to the contract's purpose and the parties' legitimate expectations.” (Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

Tort recovery for a breach of the implied covenant of good faith and fair dealing is generally only available in cases involving an insurance contract, where an independent duty arises from principles of tort law, or where there has been a bad faith denial of the existence of or liability under the breached contract. (Freeman & Mills, Inc. v. Belcher Oil Co. (1995) 11 Cal.4th 85, 102.) Otherwise, “a breach of the implied covenant of good faith is a breach of the contract” although “breach of a specific provision of the contract is not ... necessary” to a claim for breach of the implied covenant of good faith and fair dealing[.]” (Thrifty Payless, Inc. v. The Americana at Brand, LLC (2013) 218 Cal.App.4th 1230, 1244 [emphasis added].)

However, “a breach of the

implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment.” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) Notwithstanding, “if the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated.” (Id. at p. 1395.)

Similarly, here, the third cause of action is premised upon breaches of the same lease provisions upon which the breach of contract cause of action is premised. To wit, the allegations upon which the breach of contract cause of action are premised are as follows:

14. Under

Paragraph 7.2 of the Lease Agreement, Soto Capital was obligated to maintain and repair the “foundations, exterior walls, structural condition of interior bearing walls, exterior roof, fire sprinkler system, Common Area fire alarm and/or smoke detection systems, fire hydrants, parking lots, walkways, parkways, driveways, landscaping, fences, signs and utility systems serving the Common Areas and all parts thereof.”

15. Under

Paragraph 7.2 of the Lease Agreement, Soto Capital was also obligated to provide “the services for which there is a Common Area Operating Expense pursuant to Paragraph 4.2” of the Lease Agreement, which include the “operation, repair and maintenance, in neat, clean, good order and condition, and if necessary the replacement, of ... [t]he Common Areas and Common Area Improvements, including parking areas, loading and unloading areas, trash areas, roadways, parkways, walkways, driveways, landscaped areas, bumpers, irrigation systems, Common Area lighting facilities, fences and gates, elevators, roofs, exterior walls of the buildings, building systems and roof drainage systems” as well as “[a]ll other areas and improvements that are within the boundaries of the Project but outside of the Premises and/or any space occupied by a tenant.”

16. Under

Paragraph 9.2 of the Lease Agreement, in the event of partial damage to the Subject Premises that is an insured loss, Soto Capital was obligated to “repair

such damage ... as soon as reasonably possible,” and if the damage was under \$10,000.00, to either “make the repair of any damage or destruction” or “make any applicable insurance proceeds available to Lessee on a reasonable basis for that purpose.”

17.

Pursuant to Paragraph 38 of the Lease, “Lessee shall have quiet possession and quiet enjoyment of the Premises during the term hereof.”

18. On or

about March 25, 2021, MD Hydration and Soto Capital executed a “First Amendment to Standard Multi-Tenant Lease (“First Amendment”), attached hereto as Exhibit B. The Lease Agreement and First Amendment will collectively be referred to as the “Lease”. Pursuant to the First Amendment, MD Hydration’s base rent was reduced by a total amount of \$12,000.

19.

Within three months after MD Hydration opened its doors for business, a string of events ensued which cumulatively had the effect of rendering the Subject Premises unsafe for MD Hydration, its staff, and its patients to operate its business at the Subject Premises.

20.

First, on or about March 30, 2020, the restaurant building adjacent to the Subject Premises flooded. The flooding spread, through the common areas under Soto Capital’s control, all the way into the Subject Premises causing damage to several counters and walls throughout the Subject Premises. Despite the flooding being caused by another tenant through the common areas into MD Hydration’s unit, Soto Capital refused to help with any remediation efforts thereby leaving MD Hydration to complete all remediation efforts on its own. Remediation of the Subject Premises included tearing out and replacing drywall inside of the Subject Premises. As a result of the flood damage, MD Hydration was forced to close its business for multiple days.

21.

Second, on or about September 11, 2020, there was a leak in the ceiling of the Subject Premises, through common areas under Landlord’s control, which resulted in there being a mosquito infestation inside of the Subject Premises. MD Hydration notified Soto Capital of the water leak and infestation by email the same day. Soto Capital again refused to help with any remediation efforts.

22.

Third, on or about February 1, 2021, the Subject Premises was broken into and burglarized. MD Hydration's video surveillance captured the assailant inside the Subject Premises rifling through MD Hydration's desks, drawers, cabinets. Following the break-in, MD Hydration immediately notified Soto Capital by email that the Subject Premises had been burglarized and provided Soto Capital with the video surveillance of same. In response, Soto Capital did nothing to secure the common areas, ingress, egress, and Subject Property.

23.

Fourth, on or about March 3, 2021, the Subject Premises was burglarized yet again. This time around, the assailant gained access inside the Subject Premises by gaining entry to the common area. The assailant then broke the glass window of a side door of the Subject Premises and gained access inside of the Subject Premises. MD Hydration reported the break-in and burglary to Soto Capital by email on March 3, 2021. Yet again, Soto Capital did not secure the Subject Property with security personnel or security measures.

24.

Fifth, on or about September 13, 2021, a homeless person entered the Subject Premises yielding a knife and threatened to harm one of MD Hydration's employees if the employee did not provide the assailant with an intravenous treatment. The attack was captured by MD Hydration's security cameras and was provided to the police. MD Hydration notified Soto Capital of the armed assault by email on September 22, 2021.

25.

During the operation of its business, homeless individuals used the common areas and surrounding areas of the Subject Premises, including the areas in front of and around the Subject Premises, as a place to sleep and/or live. As a result of Soto Capital's breaches of its obligations, MD Hydration's employees had several dangerous encounters with homeless individuals loitering around the Subject Premises. On multiple occasions, MD Hydration's employees were terrified victims who were forced to call the non-emergency Sheriff's Department to have the homeless individuals removed. MD Hydration notified Soto Capital of these encounters by email on September 22, 2021.

26. The

criminal activity that MD Hydration and its employees experienced was the

result of Soto Capital failing to properly secure the common areas for which it is responsible. Specifically, there is a gate surrounding the common area which is to be locked and is intended to prevent trespassers from entering inside the common area and accessing the commercial buildings, including the Subject Premises. However, rather than securing these gates with a self-locking mechanism as required by law, Soto Capital "locks" the common area gates with a padlock, which must be manually locked. As a result of not providing a self-locking mechanism for the common area gates, the common area gate is often left unlocked and/or can easily be manipulated thereby creating an easy access point for criminals to use to gain access to tenant buildings, including the Subject Premises.

27.

Following the string of burglaries, break-ins, the attacks on its employees, Soto Capital's failures, and realizing that the Subject Premises was not a safe space to operate its business out of, on or about September 22, 2021, MD Hydration provided written notice to Soto Capital that as a result of the multiple robberies, safety incidents, and the business's performance as a result, MD Hydration would be closing its doors at the Subject Premises.

35. By

virtue of the acts above, Soto Capital has materially breached the Lease, copies are which are equally available to all parties.

(FAXC ¶¶ 14-27, 35.)

And

the allegations upon which the breach of the implied covenant of good faith and fair dealing are based are the same:

44. The

Lease contains an implied covenant of good faith and fair dealing with respect to Soto Capital's and MD Hydration's performance of the Lease.

46. When

MD Hydration notified Soto Capital of repeated problems with the premises, including water intrusion, pest infestation, and multiple burglaries, as alleged in the foregoing paragraphs, Soto Capital ignored and/or refused to act. Due to Soto Capital's failure to act, they deprived MD Hydration of the benefit of being able to operate as an allopathic or

naturopathic medicine and therapy provider, providing IV hydration and vitamin therapy and related uses and retail sales of related products on the Subject Premises, which was MD Hydration's purpose in entering the lease, as stated in Paragraph 1.8 of the Lease.

47. By

virtue of the acts or omissions above, Soto Capital has materially breached the implied covenant of good faith and fair dealing in the Lease causing damage to MD Hydration.

(FAXC ¶¶ 44, 46-47, emphasis added.)

Finally,

Defendant's fourth cause of action for private nuisance is premised upon Plaintiff's alleged breach of the contract (by failing to provide the premises in an adequate condition) and/or negligence (by failing to abate a nuisance):

51. Soto

Capital, by acting or failing to act, created a condition or permitted a condition to exist that was an obstruction to the free use of property, so as to interfere with the comfortable enjoyment of property.

52. Soto

Capital's conduct in acting or failing to act was negligent and unreasonable.

(FAXC ¶¶ 51-52.)

Thus, Plaintiff has met its initial burdens of production and persuasion to demonstrate that Defendant's cross claims are barred by the exculpation clause set forth in the operative lease.

II.

Defendant's Evidence

Defendant argues in opposition that Civil Code section 1668 voids paragraph 8.8 to the extent it attempts to immunize Plaintiff against liability for its own active negligence, violations of law, and/or willful injury.

Civil Code section 1668 provides: "All contracts which have for their object, directly or indirectly, to exempt any one from responsibility for his own

fraud, or willful injury to the person or property of another, or violation of law, whether willful or negligent, are against the policy of the law.”

Further, “In noninsurance contexts, . . . it is the indemnitee who may often have the superior bargaining power, and who may use this power unfairly to shift to another a disproportionate share of the financial consequences of its own legal fault. [citations.] This public policy concern influences to some degree the manner in which noninsurance indemnity agreements are construed. For example, it has been said that if one seeks, in a noninsurance agreement, to be indemnified for his or her own active negligence, or regardless of the indemnitor's fault— protections beyond those afforded by the doctrines of implied or equitable indemnity—language on the point must be particularly clear and explicit, and will be construed strictly against the indemnitee.” (Crawford v. Weather Shield Mfg, Inc. (2008) 44 Cal.4th 541, 552.)

But as discussed above, Frittelli analyzed the same exact language of paragraph 8.8 herein and found the provision validly exculpated the landlord from both active and passive negligence. Frittelli explains:

Whereas

passive negligence involves mere nonfeasance, such as the failure to discover a dangerous condition or to perform a duty imposed by law, active negligence involves an affirmative act, knowledge of or acquiescence in negligent conduct, or failure to perform specific duties. For an agreement to be construed as precluding liability for ‘active’ or ‘affirmative’ negligence, there must be express and unequivocal language in the agreement which precludes such liability. An agreement which seeks to limit liability generally without specifically mentioning negligence is construed to shield a party only for passive negligence, not for active negligence.

Under

this principle of interpretation, a lease may exclude liability for active negligence even though some applicable release provisions do not contain the term “negligence,” provided that the lease as a whole clearly establishes the parties' intent to exclude liability. [...]

We reach

the same conclusion here. Paragraph 8.8 states that “[n]otwithstanding the negligence [of] Lessor or its agents, neither Lessor nor its agents shall be liable under any circumstances” for damages arising from “any ...

cause" in the areas of the shopping center outside the leased premises or for injuries to the lessee's business. (*Italics added.*) Because this clause contains the term "negligence," it clearly encompasses damages arising from active negligence in connection with respondents' remodeling of the shopping center.

(Frittelli, *supra*, 202 Cal.App.4th at pp. 48-49.)

Defendant

attempts to distinguish Frittelli on the grounds that the landlord in Frittelli took measures to mitigate the effects its construction-related disruption caused the tenant, and Frittelli did not involve a pattern of criminal intrusion caused by the landlord's failure to maintain security infrastructure.

But

the Court of Appeal's conclusion that the language of paragraph 8.8 was sufficiently clear to bar both active and passive negligence did not depend on factual findings that the landlord took steps to mitigate or that the active negligence at issue did not result in criminal break-ins.

Further,

the Court of Appeal rejected the notion that commercial landlords owe a duty to warn or protect their tenants against burglaries caused by third parties in *Royal Neckwear v. Century City, Inc.*:

Appellant

contends that respondent owed it a duty to protect it against and warn it about loss of its property caused by burglary. We cannot find such a duty exists because it is the tenant that is in the best position to take steps to protect the safety of its own property; there is no moral blame to be ascribed to a failure to prevent another's property from being stolen; it would place an onerous financial burden on a landlord—which eventually would be passed on to all of its tenants—to hold it responsible for the loss of its tenants' property; and a tenant can easily obtain insurance to cover any such loss.

(*Royal Neckwear Co. v. Century City, Inc.*
(1988) 205 Cal.App.3d 1146, 1152.)

Defendant attempts to

distinguish Royal Neckwear on the grounds that the burglaries in this case also involved a threat to employee life and safety, as opposed to just stolen property, and the failure at issue here involves the landlord's use of a padlock instead of a self-locking mechanism to secure the common area perimeter fence, which was not within the tenants' control.

But Defendant has provided no authority demonstrating that commercial landlords owe their commercial tenants a duty to protect their tenants' employees from the criminal acts of third parties. Further, as discussed above, even if such a duty existed, Defendant has adequately disclaimed its active or passive breaches of such a duty by way of paragraph 8.8.

Defendant also argues that reading paragraph 8.8 in a manner that nullifies liability for any breach of paragraph 7.2's maintenance obligations impermissibly renders paragraph 7.2 illusory. The Court disagrees. While the contract limits the landlord's liability for any breach, it does not eliminate Defendant's other avenues of recourse for breach, such as repudiating the contract, or specific performance, where applicable.

Therefore, Defendant has not met its burden of production to create any triable issues of material fact that the exculpation clause bars all of Defendant's cross-claims.

III.

Defendant's Continuance Request

In opposition, Defendant argues that the hearing should be continued pursuant to Code of Civil Procedure section 437c, subdivision (h) to permit Defendant to marshal additional documents regarding common area maintenance and repairs and remedial measures for the common area gate. (Kiessel Decl. ¶ 8.)

The hearing on this matter has already been continued twice. First, it was continued by the Court from July 23 to August 11 to relieve calendar congestion. Then it was continued again from August 11 to August 27, due to Soto Capital's July 9 request to change the hearing date.

As such, the Court presumes
that the request for a continuance is now moot.

Further, the Court does not
find additional documents regarding Plaintiff's common area maintenance/repairs
or remedial measures for the common area gate, which go to the issue of breach,
to be material to the Court's ruling, in light of the exculpation clause, as
discussed above.

Accordingly, to the extent the
continuance request is not mooted by the two prior continuances, the Court denies
the request, as Defendant has not articulated that any essential facts or evidence can be uncovered to oppose
the motion.

CONCLUSION AND ORDER

For the foregoing reasons, the Court grants Plaintiff's motion for
summary judgment.

Plaintiff shall lodge a proposed Order in conformance with the ruling on
or before September 10, 2026.

Plaintiff shall provide notice of the Court's ruling/Order, and file the
notice with a proof of service forthwith.

DATED: August 27, 2026 ____/s/____

Michael
E. Whitaker

Judge
of the Superior Court

[1] "The
pleadings play a key role in a summary judgment motion. The function of the pleadings in a motion for
summary judgment is to delimit the scope of the issues and to frame the outer
measure of materiality in a summary judgment proceeding. As our Supreme Court has explained it: The
materiality of a disputed fact is measured by the pleadings, which set the
boundaries of the issues to be resolved at summary judgment. Accordingly, the burden of a defendant moving

for summary judgment only requires that he or she negate plaintiff's theories of liability as alleged in the complaint; that is, a moving party need not refute liability on some theoretical possibility not included in the pleadings." (Hutton v. Fidelity National Title Co. (2013) 213 Cal.App.4th 486, 493 [cleaned up]; see also Laabs v. City of Victorville (2008) 163 Cal.App.4th 1242, 1258 ["The complaint limits the issues to be addressed at the motion for summary judgment. The rationale is clear: It is the allegations in the complaint to which the summary judgment motion must respond"].)